



Guideline

Subject: Capital Adequacy Requirements (CAR)

Chapter 1 – Overview of risk-based capital requirements

Effective Date: November 2023 / January 2024

Note: For institutions with a fiscal year ending October 31 or December 31, respectively.

Subsections 485(1) and 949(1) of the *Bank Act* (BA), subsection 473(1) of the *Trust and Loan Companies Act* (TLCA) require banks (including federal credit unions), bank holding companies, federally regulated trust companies, and federally regulated loan companies to maintain adequate capital. The CAR Guideline is not made pursuant to subsections 485(2) or 949(2) of the BA, or to subsection 473(2) of the TLCA. However, the capital standards set out in this guideline together with the leverage requirements set out in the Leverage Requirements Guideline provide the framework within which the Superintendent assesses whether a bank, a bank holding company, a trust company, or a loan company maintains adequate capital pursuant to the Acts. For this purpose, the Superintendent has established two minimum standards: the leverage ratio described in the *Leverage Requirements Guideline*, and the risk-based capital ratio described in this guideline.¹ The first test provides an overall measure of the adequacy of an institution's capital. The second measure focuses on risk faced by the institution. Notwithstanding that a bank, bank holding company, trust company, or loan company may meet these standards, the Superintendent may direct a bank or bank holding company to increase its capital under subsections 485(3) or 949(3) of the BA, or a trust company or a loan company to increase its capital under subsection 473(3) of the TLCA.

OSFI, as a member of the Basel Committee on Banking Supervision, participated in the development of the Basel capital framework on which this guideline is based. Where relevant, the Basel framework paragraph numbers are provided in square brackets at the end of each paragraph referencing material from the Basel framework.

¹ The capital and leverage requirements for domestic systemically important banks are supplemented by the requirements described in OSFI's *Total Loss Absorbing Capacity (TLAC) Guideline*.

Chapter 1 - Overview of risk-based capital requirements

The Capital Adequacy Requirements (CAR) for banks (including federal credit unions), bank holding companies, federally regulated trust companies, and federally regulated loan companies are set out in nine chapters, each of which has been issued as a separate document. This document should be read in conjunction with the other CAR chapters. The complete list of CAR chapters is as follows:

Chapter 1	Overview of Risk-based Capital Requirements
Chapter 2	Definition of Capital
Chapter 3	Operational Risk
Chapter 4	Credit Risk – Standardized Approach
Chapter 5	Credit Risk – Internal Ratings-Based Approach
Chapter 6	Securitization
Chapter 7	Settlement and Counterparty Risk
Chapter 8	Credit Valuation Adjustment (CVA) Risk
Chapter 9	Market Risk

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Chapter 1 – Overview of Risk-based Capital Requirements

1. Outlined below is an overview of the capital adequacy requirements for banks (including federal credit unions), bank holding companies, federally regulated trust companies, and federally regulated loan companies, collectively referred to as ‘institutions’.
2. This chapter is drawn from the Basel Committee on Banking Supervision (BCBS) Basel Framework published on the Bank for International Settlements (BIS) website.² For reference, the Basel paragraph numbers that are associated with the text appearing in this chapter are indicated in square brackets at the end of each paragraph.³

1.1. Scope of Application

3. The capital adequacy requirements outlined in this guideline apply on a consolidated basis to the following institutions:
 - a. all institutions designated by OSFI as domestic systemically important banks (D-SIBs); and
 - b. small and medium-sized deposit-taking institutions (SMSBs⁴), which fall into Categories I, II or III as defined in OSFI’s SMSB Capital and Liquidity Requirements Guideline.⁵
4. The consolidated entity includes all subsidiaries except insurance subsidiaries. OSFI expects institutions to hold capital within the consolidated group in a manner that is consistent with the level and location of risk.

1.2. Regulatory Capital

5. Total capital consists of the sum of the following elements:
 - i. Tier 1 capital, consisting of:
 - a. Common Equity Tier 1 (CET1) capital; and
 - b. Additional Tier 1 capital
 - ii. Tier 2 capital

² [The Basel Framework](#)

³ Following the format: [Basel Framework, XXX yy.zz]

⁴ SMSBs are banks (including federal credit unions), bank holding companies, federally regulated trust companies, and federally regulated loan companies that have not been designated by OSFI as domestic systemically important banks (D-SIBs). This includes subsidiaries of SMSBs or D-SIBs that are banks (including federal credit unions), federally regulated trust companies or federally regulated loan companies.

⁵ [SMSB Capital and Liquidity Guideline](#)

6. The criteria for the capital elements comprising the two tiers, as well as the various limits, restrictions and regulatory adjustments to which they are subject, are described in Chapter 2.

1.3. Total Risk-weighted Assets

7. Risk-weighted assets (RWA) make up the denominator of the risk-based capital ratios, and is calculated as the higher of:

- a. the sum of the following three elements:
 - i. RWA for credit risk;
 - ii. RWA for market risk; and
 - iii. RWA for operational risk; and
- b. the adjusted RWA determined as per the capital floor described in section 1.5.

[Basel Framework, RBC 20.4]

1.3.1. Credit Risk

8. RWA for credit risk (including counterparty credit risk) is calculated as the sum of:

- a. Credit RWA for banking book exposures which, except the RWA listed in (b) through (e) below, is calculated using:
 - i. the standardized approach (as set out in Chapter 4); or
 - ii. the Internal Ratings-Based (IRB) approach (as set out in Chapter 5).
- b. RWA for counterparty credit risk from banking book exposures and trading book exposures (as set out in Chapter 7), except the exposures listed in (c) and (f) below.
- c. Credit RWA for equity investments in funds that are held in the banking book calculated using one or more of the approaches set out in Chapter 4:
 - i. The look-through approach
 - ii. The mandate-based approach
 - iii. The fall-back approach
- d. RWA for securitization exposures held in the banking book, calculating using one or more of the approaches set out in Chapter 6:
 - i. Securitization Standardized Approach (SEC-SA)
 - ii. Securitization External Ratings-Based Approach (SEC-ERBA)
 - iii. Securitization Internal Ratings-Based Approach (SEC-IRBA)
 - iv. Securitization Internal Assessment Approach (SEC-IAA)
 - v. A risk weight of 1250% in cases where the institution cannot use (i) to (iv) above.